

by September 18, 2026.

Analysis

Defendants “acknowledge that leave to amend is appropriate here,” but ask the Court to condition leave on granting an order of costs in favor of Defendants in the amount of \$13,988.63 as well as dismissal of “the to be mooted Motion to Compel (and for sanctions).” (Opp. at 2:21-23.)

Defendants further argue that “one court recognized [attorney fees] may be awarded under Cal. Code Civ. Proc. CCP § § 128.5 and 128.7 based on improper litigation tactics, even where not expressly permitted under Cal. Code Civ. Proc. § 473.” (Opp. at 4:23-25 [citing *Amezcuca v. Sup.Ct. (Massage Envy Franchising, LLC)* (2026) 120 Cal. App. 5th 116, 119].) Defendants’ reliance on *Amezcuca* is puzzling.

In *Amezcuca*, the Fourth District Court of Appeal issued a writ of mandate and directed the trial court to **vacate** an order that granted plaintiff leave to amend the operative complaint, but only if she paid \$25,000 to defendant. The Court noted that “[a]lthough there are statutes in our code that permit a trial court to award attorney fees as sanctions for pretrial motion practice under many circumstances, **section 473 is not one of them.**” (*Amezcuca, supra*, at p. 119 [emphasis added].)

Specifically, the *Amezcuca* court stated: “The trial court erred when it conditioned leave to amend on the payment of Massage Envy’s attorney fees. Subject to narrow exceptions not relevant here, courts may not order the payment of attorney fees to an opposing party unless they do so pursuant to statutory authority or an agreement by the parties: ‘Except as attorney[] fees are *specifically* provided for by statute, the measure and mode of compensation of attorneys and counselors at law is left to the agreement, express or implied, of the parties.’ (§ 1021, italics added.)” (*Amezcuca, supra*, at p. 127.)

The *Amezcuca* court noted that while several major treatises on California law interpreted case law authority to hold that the provision in section 473, subdivision (a)(1), that allows leave to amend a pleading to be conditioned “‘on such terms as may be proper’” authorizes courts to condition leave on payment of opposing counsel’s attorney fees, the first of those cases (*Fuller v. Vista Del Arroyo Hotel* (1941) 42 Cal.App.2d 400, also cited by Defendants) makes no specific mention of attorney fees. With respect to the second case, *Williams v. Myer* (1907) 150 Cal. 714 (also cited by Defendants), the *Amezcuca* court concluded that “[t]o the extent *Williams* can be read more broadly, to allow leave to amend to be conditioned on payment of attorney fees whenever it appears that such terms ‘may be just,’ it is also no longer good law.” (*Amezcuca, supra*, at p. 130.) Specifically, that under *Bauguess* trial courts do not have inherent supervisory power to order payment of attorney fees as a sanction, and such orders must be founded on express statutory authority. (*Bauguess v. Paine* (1978) 22 Cal.3d 626, 639.) Section 473, subdivision (a), does not include a provision that specifically authorizes the award of attorney fees to an opposing party, conditionally or otherwise.

In light of this authority, the Court grants Plaintiff’s motion without conditions.

21. 9:00 AM CASE NUMBER: C25-03171
CASE NAME: JOSIAH HOLLOWAY VS. SHAHS OF SHIRAZ, INC.
*MOTION/PETITION TO COMPEL ARBITRATION
FILED BY: SHAHS OF SHIRAZ, INC.
TENTATIVE RULING:

Defendant's motion to compel arbitration is **granted**. **Parties shall submit their dispute to arbitration and the action is stayed pending completion of the arbitration or until further order of the Court.** The class claims are dismissed without prejudice and the PAGA cause of action is stayed pending the arbitration proceeding. A further case management conference to review the status of the arbitration is hereby set for 8:30 a.m. on March 30, 2027.

Background

Plaintiff Josiah Holloway was hired on March 18, 2022 as a Team Member for defendant, which is a franchisee of Burger King Corporation. He was an hourly-paid, non-exempt employee. As part of the onboarding process, plaintiff electronically signed an arbitration agreement. (Declaration of Amir Sahebalzamany in Support of Motion to Compel Arbitration, hereinafter "Sahebalzamany Decl.," Exhibit A.) He also signed physical copy of the same agreement on his first day of onboarding. (*Id.*, Exhibit B.)

On October 28, 2025 plaintiff filed this putative class action against defendant. Plaintiff's operative first amended complaint, filed on February 10, 2026, alleges eight wage and hour causes of action under the Labor Code, as well as a cause of action for violation of the Unfair Competition Law, Business & Professions Code section 17200 et seq., and a cause of action for Civil Penalties Under PAGA (Lab. Code § 2699, et seq.).

After attempting to stipulate with plaintiff, defendant filed this motion to compel arbitration on March 25, 2026. The motion is supported by a declaration from Amir Sahebalzamany, the Secretary for defendant, who attaches the arbitration agreement and provides information about the circumstances surrounding entry into that agreement.

Plaintiff filed an opposition to the motion conceding that his "personal wage and hour claims (stated in causes of action one through eight of the First Amended Complaint) can be compelled to arbitration." He also does not object to the dismissal of class claims without prejudice. However, he argues "the entire PAGA action should remain in state court and be contemporaneously litigated alongside the arbitration proceedings [of plaintiff's own individual wage claims]."

Defendant's reply avers that such contemporaneous litigation is not permitted.

Standard

"A petition to compel arbitration should be granted if the court determines that an agreement to arbitrate the controversy exists. (Code Civ. Proc., § 1281.2.) The moving parties bear the burden of proving the existence of the arbitration agreement by a preponderance of the evidence. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413; *Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580.) Once the existence of an arbitration agreement is established, the burden is on the party opposing arbitration to prove its defense. (*Alvarez, supra*, 60 Cal.App.5th at 580.) If a written arbitration agreement exists, it will be enforced unless there are grounds for its revocation. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125; Code Civ.

Proc. § 1281].)

Analysis

A. Existence of Agreement

A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract. (Code Civ. Proc., § 1281.) The party seeking arbitration bears the burden of proving the existence of an arbitration agreement. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC*, hereinafter “*Pinnacle*,” (2012) 55 Cal.4th 223, 236.) Here, defendant provided signed copies of the agreement, which plaintiff does not dispute. Existence of an arbitration agreement has been established. The only point of disagreement here concerns whether the “individual PAGA claim” is covered by that agreement.

B. Scope of Agreement to Arbitrate

The agreement provides that it is governed by the Federal Arbitration Act, 9 U.S.C. § 1 et seq. and evidences a transaction involving commerce. The agreement further provides that it applies to “any dispute arising out of or related to Employee's application and selection for employment, employment, and/or termination of employment with SHAHS OF SHIRAZ INC or one of its affiliates, subsidiaries or parent companies (“Company”).” The agreement binds both parties to arbitrate disputes with certain exceptions. It contains a paragraph at the bottom of the first page which states:

2. Limitations On How This Agreement Applies. **These claims are not covered under this Agreement:** (i) Workers' Compensation benefits, state disability insurance benefits or unemployment insurance benefits; however, this Agreement applies to discrimination or retaliation claims based upon seeking such benefits; (ii) disputes that an applicable federal statute expressly states cannot be arbitrated or subject to a pre-dispute arbitration agreement; and (iii) **representative actions for civil penalties filed under the California Private Attorney General Act (“PAGA”)** (*but to the extent permitted by applicable law, any claim by Employee on Employee's own behalf under PAGA to recover Employee's own unpaid wages must be arbitrated and is covered by this Agreement*).

(Sahebalzamany Decl., Exhibits A and B, bolding and italics added.)

Plaintiff contends that the above italicized language means that his own civil penalty claims should *not* be arbitrated and instead proceed simultaneously with the arbitration in this Court.

In reply, defendant contends that, read in context, the italicized language was simply a reference to plaintiff's individual claims, using the term “wages” loosely and covering the applicable meal and rest period premiums that might also underlie plaintiff's causes of action.

Defendant correctly argues that both the California Code of Civil Procedure § 1281.4, as well as the Federal Arbitration Act, require the Court to implement a stay of a PAGA claim in a case like the present, pursuant to recent Supreme Court authority and subsequent cases. (*Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1123; see also *Leeper v. Shipt, Inc.* (2024) 107 Cal.App.5th 1001, 1013.) Because the outcome of the arbitration could be binding in any PAGA action with respect to plaintiff's standing to act as a PAGA representative, these cases have held that the trial court should stay any PAGA claim pending arbitration of arbitration involving the individual claims.

Accordingly, the motion must be granted.